What sets the Australian dollar, and what can the RBA do about it?

> The dollar floats, so supply and demand set its value. The RBA does not target it, but its interest rate decisions affect it, and it can intervene if the market becomes disorderly. It last did so in 2007-08.

US70.08c
Australian dollar, close Friday 23 October 2026

4.60%
RBA cash rate after the 29 September 2026 rise (fourth rise of the year)

US$90.73
Iron ore price per tonne, 23 October 2026

2007-08
Last time the RBA intervened in the foreign exchange market

0
Mentions of the exchange rate in the RBA's September 2026 decision statement

1983
Approximate start of the float

1. Determination of exchange rates (2C.4)

System	How the rate is set	Australia
Fixed	The central bank pegs the rate and buys or sells to hold it	Before 1983
Flexible (floating)	Supply and demand for the currency in the market	Since 1983
Managed	Floats, but the central bank intervenes to influence the rate	Not used, apart from rare intervention

Drivers of the Australian dollar (RBA):

- **Terms of trade and commodity prices:** a rise in the terms of trade is generally associated with a higher dollar, and the AUD is often called a "commodity currency".
- **Interest rate differentials:** higher Australian rates relative to other major economies attract capital inflows and raise the dollar.
- **Risk sentiment:** the dollar usually rises when global share prices rise.
- **Trade flows and speculation:** export demand raises demand for the dollar, imports add to its supply.

2. The influence of the RBA (2C.5)

- **Interest rates (indirect):** on 29 September 2026 the RBA raised the cash rate by 0.25 percentage points to 4.60%, unanimously. A higher rate relative to other countries tends to raise demand for the dollar. The statement itself does not mention the exchange rate: the target is inflation.
- **Intervention (direct):** the RBA can buy or sell Australian dollars using its reserves if the market becomes "disorderly or dysfunctional". It last did so in 2007-08, when it bought Australian dollars during the global financial crisis.

3. This week

The dollar closed the week on 23 October at US70.08c. Iron ore (US$90.73) and gold weakened, nickel rose, and oil reached a five-month high. Lower prices for key exports such as iron ore tend to reduce demand for the dollar.

Exam angle: explain the cause and effect: a rise in the cash rate raises demand for the AUD and appreciates it, while falling commodity prices reduce demand for exports and depreciate it. Use a demand and supply diagram. Note that the RBA targets inflation, not the exchange rate.

Syllabus link

HSC 2009 Topic 2 (2C Exchange rates): 2C.4 determination of exchange rates including fixed, flexible and managed rates; 2C.5 the influence of the Reserve Bank of Australia on exchange rates. Also supports Year 12 (2025) Y3c.1, Y3c.2 and Y3c.3.

Try this

1. Distinguish between a fixed and a flexible exchange rate. (2 marks)
2. Explain how an increase in the cash rate affects the Australian dollar. (3 marks)
3. Assess the role of the RBA in influencing the exchange rate. (6 marks)

Sources: RBA, Drivers of the Australian Dollar Exchange Rate (explainer) — https://www.rba.gov.au/education/resources/explainers/drivers-of-the-aud-exchange-rate.html · RBA, Media Release 2026-27, 29 September 2026 — https://www.rba.gov.au/media-releases/2026/mr-26-27.html · ABC News markets blog, 23 October 2026 — https://www.abc.net.au/news/2026-10-23/asx-markets-business-news-live-updates-oct-23/107291840